

sweatshirt and states that simply investing in the S&P 500 from 1927 to 2013 has a return of 9.91 percent on average. The second expert shows up in an Armani suit, with his research team of PhDs (also in suits) behind him, and tells you that with his investment technique, \$100 would have grown to \$371,452 from 1927 to 2013. “Wow,” you would say, and then ask, “So what are the details of the strategy?” Our straight-talking sweatshirt and jeans expert might say, “Well, you simply buy and hold the S&P 500 Index and reinvest dividends to achieve the 9.91 percent return.” However, our Armani-suited PhD squad may respond with the following: “Our strategy is proprietary, is built off of 30 years of research by 15 PhDs, and seeks to dynamically allocate to certain sectors of the market, with more weight going toward better-performing securities.” Sounds impressive, but the strategy is the same: Buy and hold the market! Sadly, that is the expert's power over the layman. If you are unable to fully interpret the advice of an expert, you may be beguiled by his overblown rhetoric masquerading as skill. Overall, an investor needs to be aware of experts' incentives to leverage their position of authority. If an expert cannot explain his strategy to you in a simple, understandable way, we recommend walking in the other direction.

- *Favoring complexity over simplicity.* All else equal, a financial expert prefers a more complex model to a simple one. Why? Because complex models allow them to charge higher fees! As we will show later in the book, simple models beat complex models, and they certainly beat human experts. Why would an expert, many of whom are informed of this fact, recommend a complex solution other than for an increased fee? Consider two asset-allocation alternatives: The first option is an “optimized, time-varying, strategic allocation approach, based on years of research,” whereas, the second option is a 50/50 split between stocks and bonds, buy and hold forever. Also consider that both approaches sell for a 1 percent management fee and you have to choose one of the options. Your instinct probably suggests the more advanced version. But why? What if the simpler option is actually superior to the more complex one?

Overall, there are some true experts in the field. We recommend focusing on those experts who have long-term goals, are transparent about their